

Insurance Company ? Exposure Limits

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Application and Definitions

1.1

Unless otherwise stated, this Part applies to:

1. (1) a `_non-directive insurer_` , other than a `_non-directive friendly society_` ; and
2. (2) subject to 1.2, a `_Swiss general insurer_`.

1.2

This Part only applies to a `_Swiss general insurer_` in respect of the activities of the `_firm_` carried on from a `_branch_` in the `_UK_`.

1.3

This Part applies to a `_firm_` in relation to the whole of its business, except where a particular provision provides for a narrower scope.

1.4

Where a `_firm_` carries on both `_long-term insurance business_` and `_general insurance business_` , this Part applies separately to each type of business.

1.5

In this Part, the following definitions shall apply:

`_asset exposure_`

has the meaning in 3.

`_business amount_`

means the sum of:

1. (1) the `_firm's_` total gross `_technical provisions_` (that is, calculated gross of `_reinsurance_`);
2. (2) the amount of its other liabilities (except those included in the calculation of capital resources in accordance with the `_capital resources table_`); and
3. (3) such amount as the `_firm_` may select not exceeding the amount of the `_firm's_` total capital after deductions as calculated at stage M of the `_capital resources table_` or if higher:
 1. (i) in the case of a `_firm_` carrying on `_general insurance business_` , the amount of its `_general insurance capital requirement_` ; and

2. (ii) in the case of a _firm_ carrying on _long-term insurance business_, the amount of its _long-term insurance capital requirement_.

and for the purposes of (1), a _firm's_ total gross _technical provisions_ exclude _technical provisions_ in respect of _index-linked liabilities_ or _property-linked liabilities_, except that where the _linked long-term contract of insurance_ in question includes a guarantee of investment performance or some other guaranteed benefit, the total gross _technical provisions_ include the _technical provisions_ in respect of that guaranteed element.

has the meaning in 10.1.

control

means the relationship between a _parent undertaking_ and a _subsidiary_ where that relationship falls within s1162(2), (4) and (5) of the Companies Act 2006, or a similar relationship between any _person_ and an _undertaking_.

counterparty exposure

has the meaning in 4.

hybrid security

means a _debt security_, other than an _approved security_, the terms of which provide, or have the effect that, the holder does not, or would not, have an unconditional entitlement to payment of interest and repayment of capital in full within 75 years of the date on which the _security_ is being valued.

reinsurance

includes retrocession and _analogous non-reinsurance financing agreements_.

reinsurer

includes an issuer of an _analogous non-reinsurance financing agreement_.

reinsurance exposure

has the meaning in 5.

total default

occurs where:

1. (a) the single _counterparty_ or all of the _counterparties_ within the group of closely related _counterparties_ fail to meet its or their obligations and simultaneously any securities issued or guaranteed by it or any of them become worthless; or
2. (b) the asset becomes worthless or all of the assets within the identical class become worthless at the same time.

unsecured debt

means any debt in respect of which the conditions in 9.3 or 9.4 are not satisfied or, if satisfied only in relation to part of the debt, that part of the debt which is not covered by _collateral_ or a guarantee, letter of credit or credit _derivative_ in accordance with those rules.

2.1

Taking into account all relevant risks, a _firm_ must restrict its _counterparty exposures_ and _asset exposures_ to prudent levels and ensure that those exposures are adequately diversified.

2.2

If a _firm_ elects under 9.3 to make a deduction in respect of _collateral_ , the _firm_ must deduct from the loss so much of the value of that _collateral_ as:

1. (1) would be realised by the _firm_ were it to exercise its rights in relation to the _collateral_ ; and
2. (2) does not exceed any of the relevant limits in 7.4.

2.3

For the purposes of 2.1 and of determining _counterparty exposure, asset exposure_ and _reinsurance exposure_ , a _firm_ must:

1. (1) only rely upon a loss mitigation technique where it has good reason to believe that, taking into account the possible circumstances of default, it is likely to be effective; and
2. (2) not rely upon preferential access to assets unless it has taken into account appropriate professional advice as to its effectiveness.

3

Asset Exposure

3.1

1. (1) For the purposes of this Part, _asset exposure_ is the amount a _firm_ would lose if an asset or class of identical assets (whether or not held directly by the _firm_) were to become worthless.
2. (2) For the purposes of (1), the amount of loss is the amount, if any, by which the _firm's_ capital resources (as calculated in accordance with the _capital resources table_ but without making any deduction for assets in excess of _market risk_ and _counterparty_ limits) would decrease as a result of the _counterparty_ failing to meet its obligations and the _securities_ or assets becoming worthless.
3. (3) In determining the amount of loss in accordance with (2), the _firm_ must take into account decreases in its capital resources that would result not only from its own direct exposures but also from:
 1. (a) exposures held by any of its _subsidiaries_ ; and
 2. (b) synthetic exposures arising from _derivatives_ or _quasi-derivatives_ held or entered into by the _firm_ or any of its _subsidiaries_.

4

Counterparty Exposure

4.1

1. (1) For the purposes of this Part, _counterparty exposure_ is the amount a _firm_ would lose if a _counterparty_ were to fail to meet its obligations (either to the _firm_ or to any other _person_) and if simultaneously _securities_ issued or guaranteed by the _counterparty_ were to become worthless.
2. (2) For the purposes of (1), the amount of loss is the amount, if any, by which the _firm's_ capital resources (as calculated in accordance with the _capital resources table_ but without making any deduction for assets in excess of _market risk_ and _counterparty_ limits) would decrease as a result of the _counterparty_ failing to meet its obligations

and the _securities_ or assets becoming worthless.

3. (3) In determining the amount of loss in accordance with (2), the _firm_ must take into account decreases in its capital resources that would result not only from its own direct exposures but also from:

1. (a) exposures held by any of its _subsidiaries_ ; and
2. (b) synthetic exposures arising from _derivatives_ or _quasi-derivatives_ held or entered into by the _firm_ or any of its _subsidiaries_.

5

Reinsurance Exposure

5.1

1. (1) For the purposes of this Part, a _reinsurance exposure_ is the amount of loss which a _firm_ would suffer if a _reinsurer_ or group of _closely related reinsurers_ were to fail to meet its or their obligations under contracts of _reinsurance_ reinsuring any of the _firm's_ contracts of insurance_.

2. (2) For the purposes of (1), the amount of loss is the amount, if any, by which the _firm's_ capital resources (as calculated in accordance with the _capital resources table_ but without making any deduction for assets in excess of _market risk_ and _counterparty_ limits) would decrease as a result of the _reinsurer_ or group of _closely related_ _reinsurers_ failing to meet its or their obligations under the contracts of _reinsurance_.

6

Large Exposure Limits

6.1

This Chapter does not apply to:

1. (1) a _reinsurance exposure_ ; or
2. (2) a _counterparty exposure_ or _asset exposure_ to an _CRD credit institution_.

6.2

A _firm_ must take reasonable steps to limit its _counterparty exposure_ or _asset exposure_ to:

1. (1) a single _counterparty_ ;
2. (2) each of the _counterparties_ within a group of _closely related counterparties_ ; and
3. (3) an asset or class of identical assets;

to a level where, if a _total default_ were to occur, the _firm_ would not become unable to meet its liabilities as they fall due.

7

Market Risk and Counterparty Limits

7.1

This Chapter does not apply to a _pure reinsurer_.

7.2

A _firm_ must calculate the amount of the deduction from total capital required by stage L in the _capital resources table_ in respect of assets in excess of _market risk_ and _counterparty_ limits as the aggregate amount by which its _counterparty exposures_ and _asset exposures_ exceed the relevant limits set out in 7.4.

7.3

Except where the contrary is expressly stated, whenever:

1. (1) a rule refers to assets of a _firm_ , or of any part of a _firm_ , or of any fund or part of a fund within a _firm_ , which are assets of a kind referred to in any of the limits in 7.4; and
2. (2) the _firm's_ _counterparty exposure_ (or aggregate exposure arising from the _counterparty exposures_ to each member of a group of _closely related persons_) or _asset exposure_ in respect of those assets exceeds any of the limits in 7.4

the _firm_ must deduct from the measure of the value of those assets (as determined in accordance with Insurance Company ? Overall Resources and Valuation 3 to 8) the amount by which that exposure exceeds the relevant limit in 7.4, or that portion of the deduction that relates to the part of the _firm_ or fund or part of a fund in question.

7.4

The limits referred to in 7.2 and 7.3 are the following, expressed as a percentage of the _firm's business amount_ :

1. (1) for a _counterparty exposure_ to an individual, unincorporated body of individuals or the aggregate exposure arising from the _counterparty exposures_ to each member of a group of _closely related_ individuals or unincorporated bodies of individuals:
 1. (a) 0.25% for that part of the exposure that arises from _unsecured debt_ ; and
 2. (b) 1% for the whole exposure (after deduction of the excess arising from the limit in (a));
2. (2) for a _counterparty exposure_ to an _approved counterparty_ or the aggregate exposure arising from the _counterparty exposures_ to each member of a group of _closely related approved counterparties_ :
 1. (a) 40% for that part of the exposure arising from _covered bonds_ ;
 2. (b) (i) subject to (ii), 5% for that part of the exposure not arising from _covered bonds_ or, if the _counterparty_ is an _CRD credit institution_ , from _short term deposits_ ; and
 1. (ii) the limit in (i) is increased to 10% if the total of such exposures which are greater than 5% arising from applying a 10% limit, when taken together with any exposures arising from _covered bonds_ which are within the 40% limit in (a), does not exceed 40%;
 3. (c) 20% or £2 million, if larger, for the whole exposure (but excluding any exposure arising from _covered bonds_ and after deduction of the excess arising from the limit in (b));
3. (3) for a _counterparty exposure_ to a _person_ , or the aggregate exposure arising from the _counterparty exposures_ to each member of a group of _closely related persons_ , who do not fall into the categories of _counterparty_ to whom (1) and (2) apply:
 1. (a) (i) subject to (ii), 1% for that part of the exposure arising from _unsecured debt_ ;
 1. (ii) the limit in (i) is increased to 2.5% in the case of an exposure to a _regulated institution_ ;
 2. (b) (i) subject to (ii), 1% for that part of the exposure arising from _shares_ and other variable yield participations, bonds, _debt securities_ and other _money-market instruments_ and capital market instruments from the same _counterparty_ that are not dealt in on a _regulated market_ , or a beneficial interest in a _collective investment scheme_ to which 9.5 applies;
 1. (ii) the limit in (i) for that part of the exposure arising from _debt securities_ (other than _hybrid securities_) issued by the same _regulated institution_ is increased to 5%; and
 3. (c) 5% for the whole exposure (after deduction of the excesses arising from the limits in (a) and (b));
4. (4) 5% for the aggregate of all _counterparty exposures_ that fall within (3)(a) whether or not they arise from

- _persons_ who are _closely related_ , but excluding amounts that are in excess of the limit in (3)(a);
5. (5) 10% for the aggregate of all _counterparty exposures_ and _asset exposures_ that fall within (3)(b) above or (10) below, whether or not they arise from _persons_ who are _closely related_ , but excluding amounts that are in excess of the limit in (3)(b) above or, in the case of an _asset exposure_ , (10) below;
 6. (6) 5% for the aggregate of all _counterparty exposures_ arising from unsecured loans, other than those falling within (2);
 7. (7) 3% for the _asset exposure_ arising from all cash in hand;
 8. (8) 10% for the _asset exposure_ (including an exposure arising from a reversionary interest) arising from any one piece of land or building, or a number of pieces of land or buildings close enough to each other to be considered effectively as one investment;
 9. (9) 5% for the _asset exposure_ arising from a beneficial interest in any single _non-UCITS retail scheme_ or _recognised scheme_ which does not fall within the _UCITS Directive_ ; and
 10. (10) 1% for the _asset exposure_ arising from a beneficial interest in any single _collective investment scheme_ which does not fall within the _UCITS Directive_ and is not a _non-UCITS retail scheme_ or a _recognised scheme_.

8

Large Exposure Calculation for Reinsurance Exposures

8.1

A _firm_ must notify the _PRA_ immediately, in accordance with Notifications 7, as soon as it first becomes aware:

1. (1) that a _reinsurance exposure_ to a _reinsurer_ or group of _closely related_ _reinsurers_ is reasonably likely to exceed the limit of 100% of its _capital resources_ ; or
2. (2) if (1) does not apply, that it has exceeded the limit referred to in (1).

8.2

Upon notification under 8.1, a _firm_ must:

- (1) demonstrate that prudent provision has been made for the _reinsurance exposure_ in excess of the 100% limit, or explain why in the opinion of the _firm_ no provision is required; and
- (2) explain how the _reinsurance exposure_ is being safely managed.

8.3

If a _firm_ elects under 9.3 to make a deduction in respect of _collateral_ , the _firm_ must deduct from the amount of loss determined in accordance with 5.1(2)" so much of the value of that _collateral_ as:

1. (1) would be realised by the _firm_ were it to exercise its rights in relation to the _collateral_ ; and
2. (2) does not exceed any of the relevant limits in 7.4(3)".

8.4

A _firm_ must, in determining its _reinsurance exposures_ for the purposes of this Part, aggregate any _reinsurance exposure_ where the identity of the _reinsurer_ is not known by the _firm_ with the highest _reinsurance exposure_ where it does know the identity of the _reinsurer_.

8.5

A _firm_ must notify the _PRA_ immediately in accordance with Notifications 7 if the _gross earned premiums_ which it

pays to a _reinsurer_ or group of _closely related reinsurers_ has exceeded, or is anticipated to exceed, the higher of:

1. (1) 20% of the _firm's_ projected _gross earned premiums_ for that _financial year_ ; or
2. (2) £4 million.

8.6

Upon notification under 8.5, a _firm_ must explain to the _PRA_ how, despite exceeding the limits in 8.5, the credit risk is being safely managed.

9

Exposures Excluded from Limits

9.1

In 6 and 7, references to a _counterparty exposure_ or an _asset exposure_ do not include such an exposure arising from:

1. (1) _premium_ debts;
2. (2) advances secured on, and not exceeding the _surrender value_ of, the _firm's_ _contracts of long-term insurance_ ;
3. (3) rights of salvage or subrogation;
4. (4) _deferred acquisition costs_ ;
5. (5) assets held to cover _index-linked liabilities_ or _property-linked liabilities_ , except that where the _linked long-term contract of insurance_ in question includes a guarantee of investment performance or some other guaranteed benefit, 6 and 7 will nevertheless apply to assets held to cover that guaranteed element;
6. (6) _monies_ due from, or guaranteed by, the government of an _approved State_ ;
7. (7) an _approved security_ ; and
8. (8) a holding in a _collective investment scheme_ falling within the _UCITS Directive_.

9.2

In 7, references to a _counterparty exposure_ or an _asset exposure_ do not include such an exposure resulting from debts arising from _reinsurance_ ceded and the _reinsurer's_ share of _technical provisions_.

9.3

If:

1. (1) a _firm_ has a _counterparty exposure_ , an _asset exposure_ or a _reinsurance exposure_ in respect of which it has rights over _collateral_ (except where that _collateral_ is a letter of credit); and
2. (2) the assets constituting that _collateral_ would, if owned by the _firm_ , be _admissible assets_ ;

the _firm_ may, in determining the amount of that exposure, deduct the value of that _collateral_ in accordance with 2.2 or, in the case of a _reinsurance exposure_ , 8.3.

9.4

The changes to this rule are effective from 23:00 on 31/12/2020.

1. (1) If a _firm_ has a _counterparty exposure_ , _asset exposure_ or _reinsurance exposure_ the whole or any part of which is:

1. (a) guaranteed by a _credit institution_ or an _investment firm_ subject in either case to provisions implementing the _CRD_ or supervision by a _third country_ supervisory authority with a _CRD_ -equivalent regime; or
2. (b) adequately mitigated by a credit _derivative_ ;
2. the _firm_ may, for the purposes of 6, 7 and 8.1, treat that exposure, or that part of the exposure which is so guaranteed or mitigated, as an exposure to the guarantor or derivative _counterparty_ , rather than to the original _counterparty_ , asset or _reinsurer_ .
3. (2) For the purposes of (1), references to an exposure being guaranteed include an exposure secured by a letter of credit, but to fall within (1) the guarantee or letter of credit must be direct, explicit, unconditional and irrevocable.

9.5

For the purposes of 6 and 7, _units_ in a _collective investment scheme_ that does not fall within the _UCITS Directive_ must be treated as a _counterparty exposure_ to the _issuer_ of the _units_ in that scheme if the issuer and those _units_ are to be regarded as constituting a single risk because they are so interconnected that, if the _issuer_ were to experience financial problems, this would be likely to affect the value of the _units_ .

10

10.1

In this Part, a group of _persons_ is _closely related_ if it consists solely of two or more _persons_ who, unless it is shown otherwise, constitute a single risk because as between any two of them one or other of the following relationships apply:

1. (1) one of them, directly or indirectly, has _control_ over the other or they are both controlled by the same third party; or
2. (2) there is no relationship of _control_ but they are to be regarded as constituting a single risk because they are so interconnected that, if one of them were to experience financial problems, the other would be likely to encounter repayment difficulties.